

## ALL ABOUT GOLD EGRs

**EGRs** or Electronic Gold Receipts is a digital asset that represents underlying ownership

**EGRs** are electronically held and can be bought and sold on exchanges

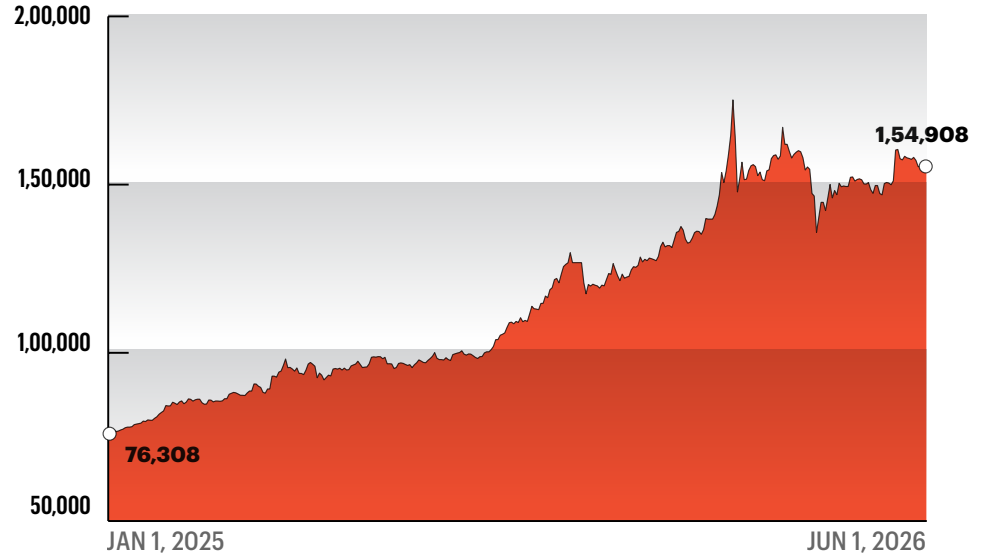
**EGRs** can be converted to physical gold as per prescribed process

**GST** levied on conversion of EGR to physical gold hampering market growth, say experts

**NSE** recently launched trading in EGRs; **BSE** had launched it earlier in 2022

## GOLD SPOT PRICE

- Gold prices touched an all-time high of ₹1.75 lakh/10 gram on January 29



**NOTE** FIGURES SHOW SPOT PRICE (₹ PER 10 GM) **SOURCE** MCX

related uncertainties. In 2026, the West Asia crisis has only made prices more volatile.

“We are seeing a more selective buying pattern. Demand is increasingly skewed towards lower-value and everyday-wear pieces,” according to Varghese Alukkas, MD, Jos Alukkas, a Kerala-based jeweller.

Ketan Kothari, Director of precious metals management company Augmont Enterprises points that as gold prices rise, consumers may postpone purchases, but eventually they come back. Importantly, the price rise also drives up investment demand in the hope of further price increases, he notes.

Coming to gold ETFs, net assets under management topped ₹1.78

lakh crore in April 2026, up almost three times the net AUM of ₹61,422 crore in April 2025, according to data from Association of Mutual Funds of India.

“When gold prices rise, consumers stop buying for some time. But investors continue buying because they expect prices to rise. When prices become range-bound, consumers have no choice but to accept the price and they start buying again,” Kothari tells *Business Today*.

### TRACKING DEMAND

A major driver of gold demand in recent years has come from global central banks, which have been stock piling gold as they look to

diversify their forex reserves. According to the World Gold Council, central banks bought 863 tonnes of gold in 2025. While it was lower than the 1,092 tonnes in 2024, last year’s purchases were still significantly higher than the average 473 tonnes of gold central banks annually bought between 2010-2021. Gold’s share is now exceeding that of US treasuries, although the US dollar still has the largest share of currency reserves, according to Carsten Menke, Head—Next Generation Research, Julius Baer.

“Gold has become the number one asset in central banks reserves, thanks to a relentless rise in prices and continued buying from emerging market central banks. We still